120-Day Used Vehicle Action Plan — Backup Sheet

NOT PRESENTED · CARRIED FOR QUESTIONS · AUG–NOV 2026 · GALLATIN FORD / WE AUTO

REPORTING BASIS — governs every figure: front gross on the store's true basis, inclusive of pack, net adds, and CPO incentive money. Daily Operating Report front-gross figures are excluded; they are struck before those credits. Current true-basis front gross: −$266/unit. Goal: $0 and 120 units/month by November.

TRADE CAPTURE & SOURCING MODEL

Source	Volume	Capture	Trades
New retail (Aug–Nov goal)	125/mo	48% (ind. 44.6%)	**60/mo**
Used retail (plan target)	120/mo	35% (ind. ~33%)	**42/mo**
Total booked → retail-quality (55–60%)			**~102 → ~58/mo**

Acquisition channel	Units/mo	Mix	Economics
Trade-ins (retail-quality)	**58**	48%	Cheapest source; zero fees
Auction (Manheim Nashville)	**36**	30%	$625–$1,125/unit friction
FBM / curb ($400 spiff)	**12** (stretch 20)	10–17%	~$300–$800/unit better net
Service drive + street	**14**	12%	KBB ICO-style lane; high margin
Total engine	**120**	100%	

Look-to-book: ~204 appraisals/mo (~8/working day) at 50% model; Phase-2 gate ≥45% (industry 33%). Auction: buy list from turn data only (<30 local days-to-sell, $18K–$32K), cost-to-market ≤90–93% velocity / ≤88% slow, max bids pre-set. Curb ramp 8–10 → 12 → 12–20; ~$4,800/mo spiffs vs $8,000–$14,000 advantage at the 12-unit rate.

TIME-TO-LINE & RECON

Metric (Apr → May → Jun)	Gallatin Ford	Benchmark
Recon cycle time	**4.51 → 4.39 → 3.38 d**	3–5 d best practice
Time-to-line (T2L)	**6.76 → 9.41 → 8.54 d**	12.2 d nat'l avg; target 5.0
Merchandising lag (T2L − recon)	**2.25 → 5.02 → 5.16 d**	≤1.5 d — THE BOTTLENECK
Holding cost	$40/day (NCM)	$30–$85 range

Recon beats best practice while the finished-car wait doubled — the constraint is merchandising, not the shop. 8.54-day T2L ≈ $340/unit sunk before first ad exposure; every 2.5 days removed ≈ +1 turn/yr (Rapid Recon). Fix: 24h photo SLA post-recon, price on arrival, list during recon. Controls A–G (blind desk · questionnaire + 12 VinCue photos · VinTel scan · customer walk-around · tire-tread photo in Rapid Recon · daily 9:00 AM trade walk, Rob primary / John McCann backup · weekly recon retrospective) go live after baselines.

INVENTORY & TURN

Month	Retail	Wholesale exits	Lot end	Acq. needed
August	85	15	185	82
September	95	15	165	90
October	105	12	150	102
November	**120**	8	140	**118**

Turn glide path	Units	Days' supply	Turns
Today (verified 7/14)	**203**	~75–80	~4.7
Day 120 (Nov 30)	~140	~35	**10.3 exit rate**
2027 steady state	105–110	~27	**13.1–13.7 (12–16 band)**

Sales (full-month tracking): Apr 76 → May 94 → Jun 93 → Jul 74. Legacy purge ~50 aged units exit via wholesale over Phases 1–3, reported on their own legacy line — never blended into go-forward results. One-time write-down placeholder $50K–$100K (≈50 units × $1,000–$2,000) — **sized by Week-1 deal-jacket / age-band analysis; GM/DP approves up front.** Aged rules: reprice 15/30/45 days; retail-or-wholesale decision at 60; zero go-forward units past 75.

CPO MIX & BACK END

Period	CPO / Total	F&I PVR	Products/unit
April	42 / 76	$2,984	—
May	72 / 94	$2,676	3.62
June	63 / 93	$3,430	—
July	**63 / 74 = 85.1%**	$3,100	3.58

Back end already carries the department: at −$266 front and ~$3,000 F&I run-rate, each unit contributes ≈ +$2,700 total gross — every incremental unit is profitable today. At 120/mo run-rate ≈ $360K+/mo total used gross (F&I floor $2,800). CPO scenarios at 120/mo: 63 units = 52.5% penetration (baseline) · 85 = 70.8% · 95 = 79.2% · 102 = 85.0%. **CPO net/unit deliberately unsized — Week-1 test: net = incentive $ + retail price premium + turn benefit − certification cost. Do not act on the withdrawn cap-CPO recommendation until computed.**

LEAD SOURCES — 90-DAY CRM ACTUALS (967 LEADS → 112 DEALS · 11.6% CLOSE · ≈322 LEADS AND ≈37 DEALS/MO)

Source	Leads	Appts set	Appts showed	Deals	Close %	Show → Deal	Dead %	Read
TV – DG	432 (45% of all)	92	49 (53%)	33	8.0%	67%	33%	Biggest source, worst close — confirmation process, not more spend
CarGurus	188	51	31 (61%)	22	12.2%	71%	23%	Funnel healthy; hold SRP → VDP click rate >4.5%
CarFax	116	n/s	n/s	3	**2.7%**	**30%**	41%	Even shows don't buy = lead quality. Get cost → keep-or-kill (Rob, Wk 1)
Capital One	81	n/s	n/s	23	**28.4%**	**100% (23 of 23)**	19%	Pre-approved shoppers; scale it — ask rep re: allocation (Rob, Wk 1)
AutoFi	60	n/s	n/s	8	13.8%	67%	28%	Steady
AutoTrader	20	n/s	n/s	3	15.0%	75%	20%	Small
All sources	**967**	**247**	**145 (59%)**	**112**	**11.6%**	**~74%**		**102 no-shows ≈ 34/mo; 59 → 75% show ≈ +10 units/mo, zero added spend**

n/s = appointments-by-source not in the source plan for these rows; totals from the 90-day CRM appointment pull. Internet leads ≈ 20% of ~180 total deliveries (≈24 of the 120-unit target); the rest is floor, phone, repeat, referral, service. Response time: CRM "BH Avg Time" reads 442 (CarGurus), 471 (TV), 643 (Capital One) — **units unstated. If minutes, first response is 7–11 hours (benchmark <15 min). One question to the CRM admin resolves it — Week 1.**

PHASE GATES BY MONTH

Phase	Sales	T2L	Front PVR (true basis)	Lot	Also gated
1 · Aug · "We stop the bleed"	85	≤7.0	Go-forward ≥ −$125	≤185	Controls A–G live with baselines · write-down approved · comp plan drafted
2 · Sep · "We build the engine"	95–100	≤6.0	**Go-forward ≥ $0 — the Sept 30 commitment**	~165	Aug/Sep tracked vs +$80–120/unit quarter math · look-to-book ≥45%
3 · Oct · "We pick up speed"	105+	≤5.5	Go-forward ≥ $0 sustained	~150	Legacy book cleared · sourcing ≥100 acq/mo · photo backlog ≤1 day
4 · Nov · "We hold the line"	**120**	**≤5.0**	**Blended ≥ $0 (legacy cleared)**	~140	Turns ≥10 exit rate · engine ≥118 acquisitions · playbook documented

Quarter math: a $0 July–September average requires August–September to run +$80 to +$120/unit to pay back a negative July. Day-45 stretch check: if the stretch levers haven't materialized, GM/DP chooses — hold the blended commitment, or re-scope to the go-forward book (recommended).

OPEN ITEMS — FLAGGED, NOT FILLED: ① Write-down $50K–$100K is a placeholder until the Week-1 deal-jacket/age-band analysis sizes it. ② CPO net/unit unsized until the Week-1 data pull. ③ CRM response-time unit unverified. ④ Appointments-by-source only instrumented for TV and CarGurus. ⑤ Appraisal look-to-book and trade capture not instrumented today — baselines measured from Day 1, before controls go live.